Practice workbook · Trading blocs: what they are and their effects

What a trading bloc is (countries cutting barriers between themselves), named examples, and the benefits and drawbacks of membership for countries and firms, including tougher internal competition.

11 question parts: 1 worked-example retry and 10 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T22-09

1. Question 4 · part b · 6 marks

2021 NOV · Paper 02

Worked-example retry · Attempt part b only.

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4 Figure 4 shows the amount of foreign direct investment (FDI) India received from 2016–2019.

Year	FDI ($bn)
2016	45.14
2017	55.55
2018	60.98
2019	64.37

Figure 4

(Source adapted from: https://www.businesstoday.in/current/economy-politics/india-has-received-highest-ever-fdi-of-6437-billion/story/369313.html)

(a) Calculate, to two decimal places, the **annual average value of FDI in $bn** for India from 2016–2019. You are advised to show your working.

(2)

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1. Question 4 · part b · 6 marks

2021 NOV · Paper 02

Worked-example retry · Attempt part b only.

India is a member of the Asia-Pacific Trade Agreement (APTA). This preferential trade agreement has five members including Bangladesh, China, South Korea and Sri Lanka.

(b) With reference to the data above and your knowledge of economics, analyse the benefits for India from being a member of a trading bloc.

(6)

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1. Question 4 · part b · 6 marks

2021 NOV · Paper 02

Worked-example retry · Attempt part b only.

In January 2019, the Indian Government approved new legislation that improved and simplified its policy on foreign direct investment (FDI). This helped to attract more multinational corporations (MNCs) to the country.

In 2019, India ranked among the top 10 economies benefitting from FDI. The overall growth of FDI in India was due to its many resources. These include a high degree of specialisation in services and a skilled, English-speaking, low-cost labour force. India also has a potential market of over one billion people.

FDI in India has been focused on chemicals, computer software and hardware, telecommunications, the automobile industry, construction, power and pharmaceuticals.

(Source adapted from: https://www.nordeatrade.com/en/explore-new-market/india/investment)

(c) With reference to the data above and your knowledge of economics, evaluate the benefits of FDI for a country such as India.

(12)

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1. Question 4 · part b · 6 marks · Working and answer

Working and answer

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2. Question 1 · part b · 1 mark

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

1 (a) In a recovery, a country's Gross Domestic Product (GDP)

(1)

- ☒ **A** rises
- ☒ **B** falls
- ☒ **C** stays the same
- ☒ **D** fluctuates

(b) A trade bloc is a group of countries that have

(1)

- ☒ **A** the same interest rate
- ☒ **B** common borders between members
- ☒ **C** the same currency
- ☒ **D** a reduction in trade barriers between members

(c) What is meant by the term multinational corporation (MNC)?

(2)

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2. Question 1 · part b · 1 mark · Working and answer

Working and answer

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3. Question 2 · part g · 9 marks

2019 JUN · Paper 02

Further practice · Attempt part g only.

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2 The price of a basket of goods and services used to calculate the Consumer Price Index (CPI) in an economy, rose from €1 250 to €1 300 in one year.

(a) What is the rate of inflation?

(1)

- ☒ **A** 0.96%
- ☒ **B** 1.04%
- ☒ **C** 4%
- ☒ **D** 5%

(b) What is the name of the term used to describe tax on income, wealth and profit?

(1)

- ☒ **A** Direct taxation
- ☒ **B** Value added tax
- ☒ **C** Excise duties
- ☒ **D** Indirect taxation

(c) State **one** way businesses can damage the environment.

(1)

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(d) What is meant by the term supply-side policy?

(2)

3. Question 2 · part g · 9 marks

2019 JUN · Paper 02

Further practice · Attempt part g only.

In October 2017 the currency of the Philippines, the peso, fell to its lowest level against the US dollar in more than 11 years.

(e) Explain **one** advantage of having a depreciating currency for an economy such as the Philippines.

(3)

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3. Question 2 · part g · 9 marks

2019 JUN · Paper 02

Further practice · Attempt part g only.

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According to the UN there are now over 63,000 multinational corporations (MNCs) and the number is growing daily. Many well-known MNCs, including PepsiCo, the Tata Group and Microsoft, are expanding in India.

(f) Explain **one** possible reason for the emergence of MNCs in a country such as India.

(3)

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3. Question 2 · part g · 9 marks

2019 JUN · Paper 02

Further practice · Attempt part g only.

The Association of South East Asian Nations (ASEAN) is a trade bloc. It was set up in 1967 by Indonesia, Malaysia, the Philippines, Singapore and Thailand. Later it was joined by Brunei, Laos, Vietnam, Myanmar and Cambodia and became a 10 member trading bloc in 2016.

1967 ASEAN-5 Indonesia, Malaysia, the Philippines, Singapore and Thailand		2016 ASEAN-10 Brunei, Laos, Vietnam, Myanmar, Cambodia, Indonesia, Malaysia, the Philippines, Singapore and Thailand
185 Million	Population	**634** Million
2 950 Thousand Km²	Land	**4 326** Thousand Km²
56 Years	Life Expectancy	**71** Years
$122 Current Prices (US)	GDP/Capita	**$4 021** Current Prices (US)
$9 707 Million (US)	Trade	**$2 218 534** Million (US)

Figure 2

(Source: adapted from https://www.fwd.news/50-years-major-regional-trading-bloc-looks-closer-cooperation/)

(g) With reference to the data above and your knowledge of economics, assess the benefits for a country, such as Thailand, of being a trade bloc member.

(9)

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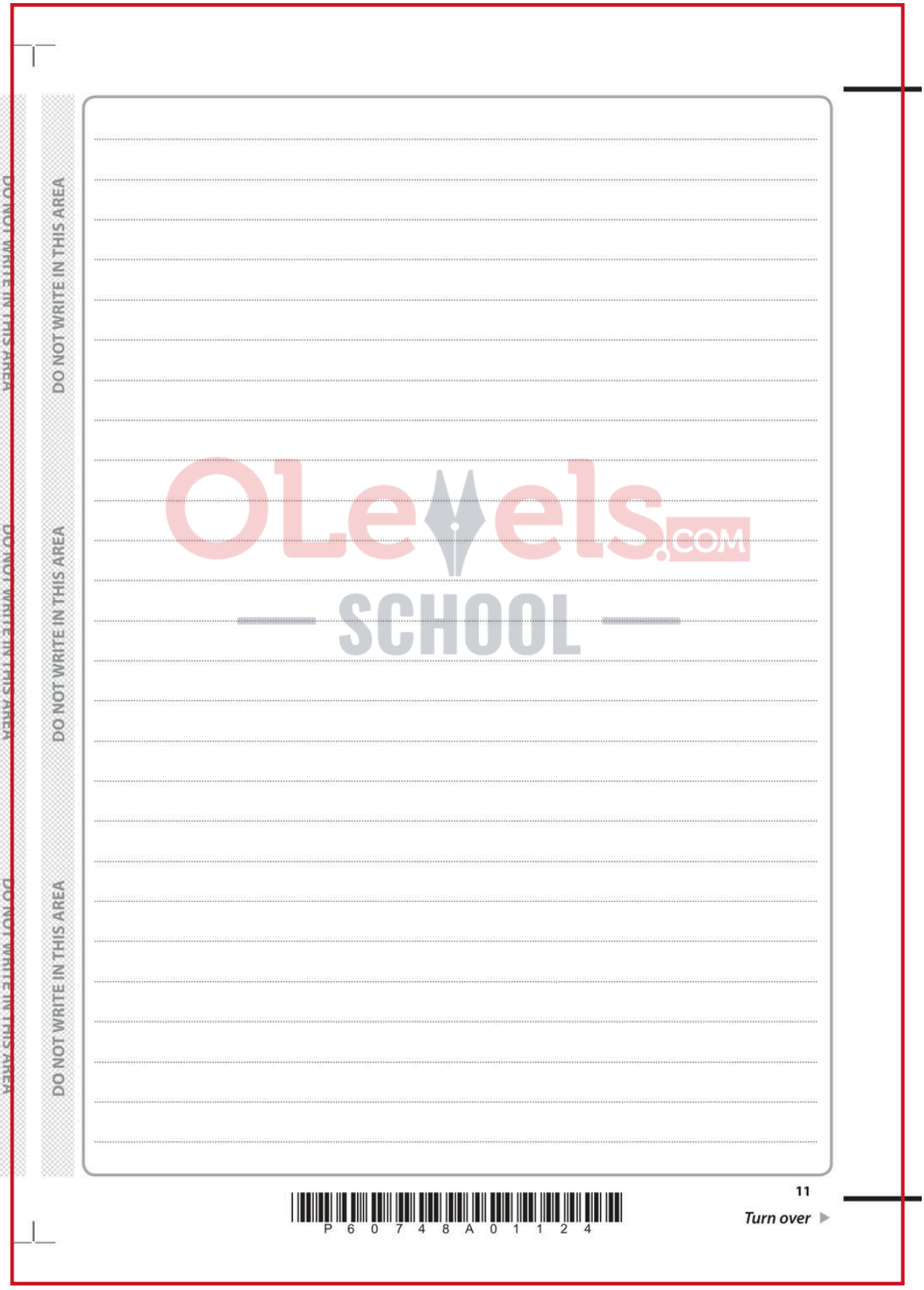
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3. Question 2 · part g · 9 marks

2019 JUN · Paper 02

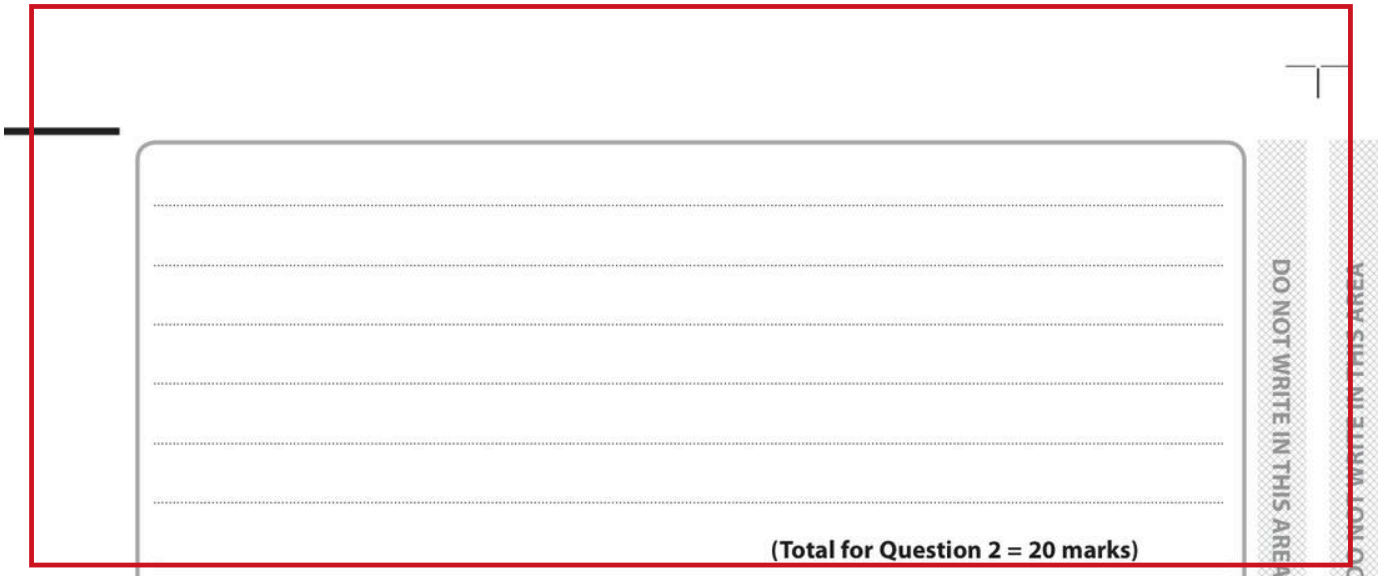
Further practice · Attempt part g only.



3. Question 2 · part g · 9 marks

2019 JUN · Paper 02

Further practice · Attempt part g only.



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3. Question 2 · part g · 9 marks · Working and answer

Working and answer

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4. Question 1 · part h · 6 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part h only.

1 (a) What type of unemployment is likely to be caused by generous welfare benefits? (1)

- ☒ **A** Seasonal
- ☒ **B** Cyclical
- ☒ **C** Voluntary
- ☒ **D** Structural

(b) What name is given to the phase in the economic cycle when consumers start to regain confidence and economic activity is on the increase? (1)

- ☒ **A** Boom
- ☒ **B** Downturn
- ☒ **C** Recession
- ☒ **D** Recovery

(c) What is meant by the term central bank? (2)

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4. Question 1 · part h · 6 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part h only.

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(d) Describe **one** disadvantage of free trade for domestic businesses.

(2)

Figure 1 shows the income tax rates for Cyprus in 2018. George earns €21 000 as a manager. This means George only pays tax on €1 500.

Taxable income (€)	Tax rate (%)
0 to €19 500	0%
€19 501 – €28 000	20%

Figure 1

(e) Calculate the **net pay** in euros (€) for George. You are advised to show your working.

(2)

4. Question 1 · part h · 6 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part h only.

(f) Using the diagram below, draw the effect of the introduction of a new quota that is less than the original quota. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

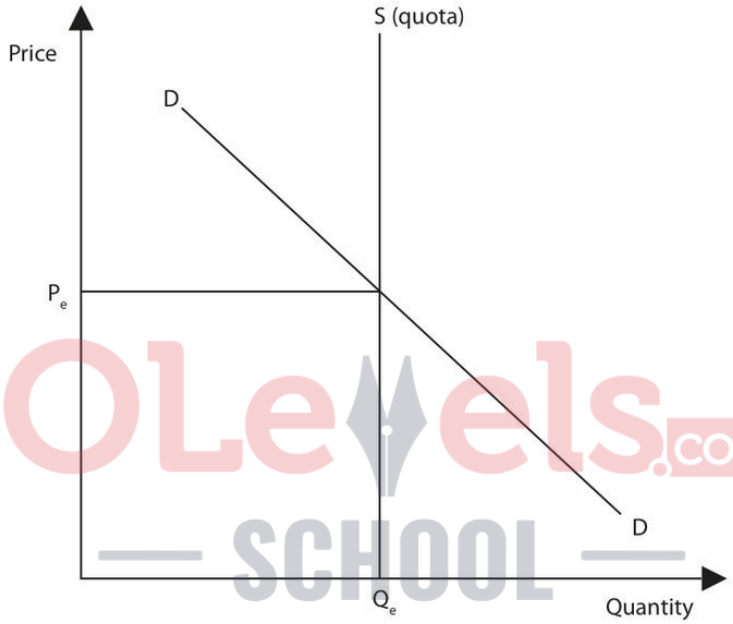


Figure 2

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4. Question 1 · part h · 6 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part h only.

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Mexico plans to increase the country's minimum wage by 16% to $5.10 a day.
Mexico's President promised further rises to keep up with the high rates of inflation.

(g) Explain the impact of high rates of inflation on wages in a country such as Mexico.

(3)

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4. Question 1 · part h · 6 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part h only.

In March 2018, 44 African countries signed a deal to create one of the world's largest trade blocs, the African Continental Free Trade Area (AfCFTA). AfCFTA will create a market of 1.2 bn people with a gross domestic product (GDP) of $2.5 trillion.

(h) Analyse the benefits to a country of being a member of the African Continental Free Trade Area (AfCFTA).

(6)

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(Total for Question 1 = 20 marks)

4. Question 1 · part h · 6 marks · Working and answer

Working and answer

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5. Question 3 · part b · 1 mark

2021 JUN · Paper 02

Further practice · Attempt part b only.

3 Figure 3 shows selected UK Government receipts from taxation in 2019.

	£bn
Sales tax (VAT)	186.3
Income tax	268.3
Tariffs	31.9
Business tax	53.4

Figure 3

(a) What is the total amount of revenue raised by indirect taxes?

(1)

- ☒ **A** £454.6bn
- ☒ **B** £321.7bn
- ☒ **C** £218.2bn
- ☒ **D** £85.3bn

(b) Member countries of a trading bloc agree to

(1)

- ☒ **A** trade together with low or no barriers
- ☒ **B** have the same rate of income tax
- ☒ **C** only trade with members within the bloc
- ☒ **D** have common borders between members

Brazil currently only allows a quota of 600 million litres of ethanol per year to be imported from the US.

(c) Explain **one** advantage of using quotas for a country such as Brazil.

(3)

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5. Question 3 · part b · 1 mark · Working and answer

Working and answer

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6. Question 1 · part h · 6 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part h only.

1 (a) Which **one** of the following is a disadvantage of multinational corporations (MNCs) operating in a country?

(1)

- ☒ **A** Developing capital
- ☒ **B** Investing in infrastructure
- ☒ **C** Creating jobs
- ☒ **D** Environmental damage

(b) Which **one** of the following describes voluntary unemployment?

(1)

- ☒ **A** Unemployment caused by a lack of demand for a particular skill
- ☒ **B** Unemployment caused by changes in the business cycle
- ☒ **C** Unemployment caused by individuals choosing not to work
- ☒ **D** Unemployment caused by seasonal fluctuations in the demand for labour

(c) What is meant by the term monetary policy?

(2)

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6. Question 1 · part h · 6 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part h only.

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(d) Describe **one** advantage of privatisation for a government.

(2)

Figure 1 shows selected UK Government receipts from taxation in February 2023.

	£bn
Income tax	20.0
Sales tax (VAT/GST)	14.3
Business taxes	7.6
Excise duties	3.7
Customs duties	0.4

Figure 1

(e) Calculate the **total amount of revenue** in £bn raised by indirect taxes in February 2023. You are advised to show your working.

(2)

6. Question 1 · part h · 6 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part h only.

In March 2023, the Government of Ghana announced it was removing fuel subsidies on petroleum.

(f) Using the diagram below, draw the effects of the removal of the fuel subsidy on the equilibrium price and quantity of petroleum in Ghana. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

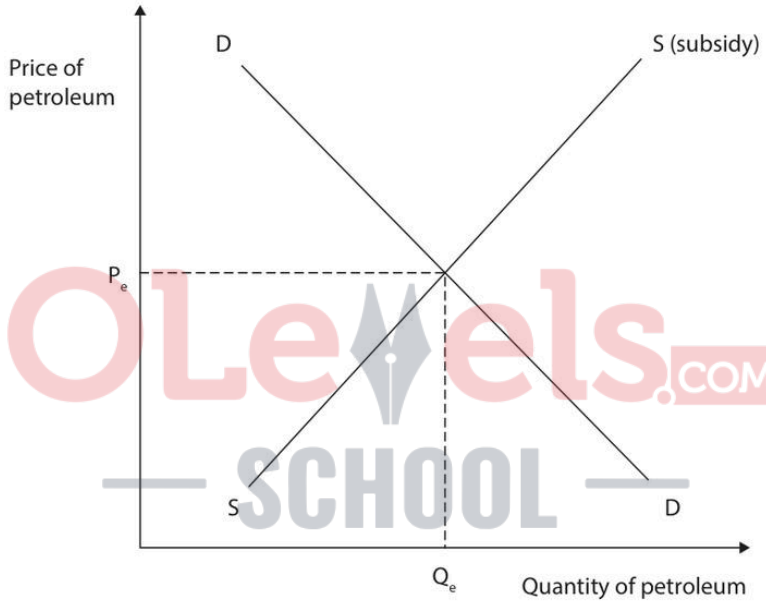


Figure 2

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6. Question 1 · part h · 6 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part h only.

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In September 2022, the Indian Government deregulated the telecommunications sector. This included reducing the taxes and fees that telecom companies had to pay to the government and allowing more firms to enter the market.

(g) Explain **one** advantage of deregulation for a country such as India.

(3)

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6. Question 1 · part h · 6 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part h only.

In March 2023, the UK joined the Comprehensive and Progressive Agreement for Trans-Pacific Partnership (CPTPP), an 11-member Asia-Pacific trading bloc, after two years of negotiations. The current members of the CPTPP are Australia, Canada, Japan, Mexico, New Zealand, Singapore, Brunei, Chile, Malaysia, Peru and Vietnam.

(h) With reference to the data above and your knowledge of economics, analyse the advantages for UK firms of the UK joining the CPTPP trading bloc.

(6)

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6. Question 1 · part h · 6 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part h only.



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6. Question 1 · part h · 6 marks · Working and answer

Working and answer

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7. Question 1 · part h · 6 marks

2024 JUN · Paper 02

Further practice · Attempt part h only.

1 (a) Which **one** of the following is an advantage of multinational corporations (MNCs) operating in a country?

(1)

- ☒ **A** Avoiding paying taxes
- ☒ **B** Environmental damage
- ☒ **C** Developing skills
- ☒ **D** Moving profits abroad

(b) Which **one** of the following is a measurement of gross domestic product (GDP)?

(1)

- ☒ **A** Total value of goods and services traded within an economy
- ☒ **B** Total value of goods and services produced within an economy
- ☒ **C** Total value of goods and services exported by an economy
- ☒ **D** Total value of goods and services imported by an economy

(c) What is meant by the term the current account on the balance of payments?

(2)

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7. Question 1 · part h · 6 marks

2024 JUN · Paper 02

Further practice · Attempt part h only.

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(d) Describe **one** way business activity can damage the environment.

(2)

Figure 1 shows selected UK Government receipts from taxation in February 2023.

	£bn
Income tax	20.0
Sales tax (VAT/GST)	14.3
Business tax	7.6
Excise duties	3.7
Customs duties	0.4

Figure 1

(e) Calculate the **total amount of revenue** in £bn raised by direct taxes in February 2023. You are advised to show your working.

(2)

7. Question 1 · part h · 6 marks

2024 JUN · Paper 02

Further practice · Attempt part h only.

In January 2023, China introduced a quota on imports of crude oil into the country.

(f) Using the diagram below, draw the effects of the introduction of the quota on the equilibrium price and quantity of crude oil in China. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

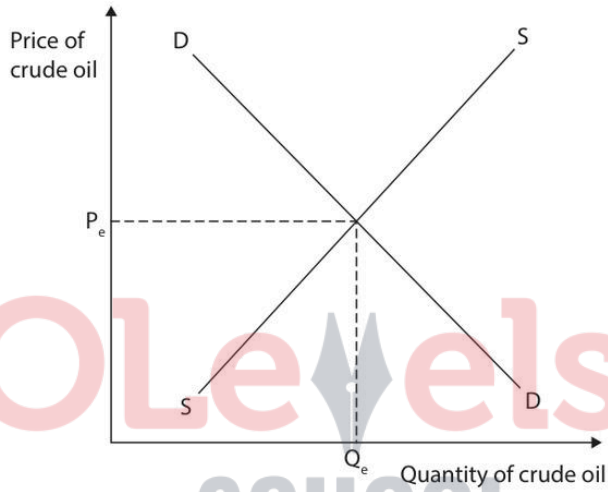


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7. Question 1 · part h · 6 marks

2024 JUN · Paper 02

Further practice · Attempt part h only.

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In 2021, the global economy experienced a period of rapid growth. This growth was accompanied by rising inflation in many parts of the world due to problems with the supply of goods.

(g) Explain **one** reason why there may be a link between economic growth and inflation for an economy.

(3)

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7. Question 1 · part h · 6 marks

2024 JUN · Paper 02

Further practice · Attempt part h only.

The African Continental Free Trade Area (AfCFTA) is a free trade area that includes most of Africa. It connects 1.3bn people across 55 countries with a combined gross domestic product (GDP) of $3.4 trillion. South Africa is an important member of the AfCFTA.

(h) With reference to the data above and your knowledge of economics, analyse the disadvantages to firms in South Africa of being a member of the AfCFTA.

(6)

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7. Question 1 · part h · 6 marks

2024 JUN · Paper 02

Further practice · Attempt part h only.



7. Question 1 · part h · 6 marks · Working and answer

Working and answer

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8. Question 4 · part c · 12 marks

2024 NOV · Paper 02

Further practice · Attempt part c only.

4 Figure 5 shows the gross domestic product (GDP) for India in 2021 and 2022.

	2021	2022
GDP ($bn)	3 150.31	3 385.09

Figure 5

(a) Calculate, to two decimal places, the **percentage change in GDP** for India between 2021 and 2022. You are advised to show your working.

(2)

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8. Question 4 · part c · 12 marks

2024 NOV · Paper 02

Further practice · Attempt part c only.

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The Indian Government offers many different benefit payments and other provisions to very low-income individuals and families to help to reduce poverty. These include cash transfers, food rations and training courses for unemployed workers.

(b) With reference to the data above and your knowledge of economics, analyse how benefits offered by the government can help to reduce poverty for a country such as India.

(6)

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8. Question 4 · part c · 12 marks

2024 NOV · Paper 02

Further practice · Attempt part c only.

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8. Question 4 · part c · 12 marks

2024 NOV · Paper 02

Further practice · Attempt part c only.

In October 2023, India was once again considering joining the Regional Comprehensive Economic Partnership (RCEP).

The RCEP is the world's largest trading bloc, accounting for about 30% of global trade. It consists of 15 member countries including China, Japan and South Korea, the three largest economies in Asia.

India withdrew from RCEP negotiations in 2019, saying that it had concerns about the impact of the agreement on its domestic industries, particularly agriculture and manufacturing.

The Indian Government has been in talks with RCEP member countries to obtain a fair and balanced trade deal that would benefit all stakeholders.

(c) With reference to the data above and your knowledge of economics, evaluate the possible benefits for India of joining the RCEP trading bloc.

(12)

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Turn over

8. Question 4 · part c · 12 marks

2024 NOV · Paper 02

Further practice · Attempt part c only.



8. Question 4 · part c · 12 marks

2024 NOV · Paper 02

Further practice · Attempt part c only.

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(Total for Question 4 = 20 marks)

8. Question 4 · part c · 12 marks · Working and answer

Working and answer

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9. Question 3 · part a · 1 mark

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

3 (a) Which **one** of the following is a feature of being a member of a trading bloc?

(1)

- ☒ **A** Higher tariffs on exports to other members within the bloc
- ☒ **B** Slower delivery times for goods within the bloc
- ☒ **C** Can only trade with members within the bloc
- ☒ **D** Access to a larger market within the bloc

Figure 3 shows imports and exports for a country in $bn.

	$bn
Exports of goods	300
Exports of services	80
Imports of goods	240
Imports of services	50

Figure 3

(b) What is the **visible trade balance** in $bn for the country?

(1)

- ☒ **A** $30bn
- ☒ **B** $60bn
- ☒ **C** $90bn
- ☒ **D** $250bn

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9. Question 3 · part a · 1 mark · Working and answer

Working and answer

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10. Question 1 · part c · 2 marks

2025 JUN · Paper 02

Further practice · Attempt part c only.

1 (a) Which **one** of the following is the most likely reason for increased globalisation?

(1)

- ☒ **A** Higher number of tariffs and quotas
- ☒ **B** Lower transportation costs
- ☒ **C** Reduced significance of multinational corporations
- ☒ **D** Increased communication costs

(b) What is likely to happen if a government successfully reduces unemployment?

(1)

- ☒ **A** Inflation might rise as more people have money to spend
- ☒ **B** More people working leads to lower overall economic growth
- ☒ **C** Inflation decreases because people have less money to spend
- ☒ **D** Government spending on benefits would increase

(c) What is meant by the term trading bloc?

(2)

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10. Question 1 · part c · 2 marks

2025 JUN · Paper 02

Further practice · Attempt part c only.

(d) Describe **one** impact on consumers of an increase in interest rates.

(2)

Figure 1 shows imports and exports for a country in €bn.

	€bn
Exports of goods	150
Exports of services	40
Imports of goods	120
Imports of services	30

Figure 1

(e) Calculate the **visible trade balance** in €bn for the country. You are advised to show your working.

(2)

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10. Question 1 · part c · 2 marks · Working and answer

Working and answer

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11. Question 2 · part a · 1 mark

2025 NOV · Paper 02

Further practice · Attempt part a only.

2 (a) Which **one** of the following describes a trade bloc?

(1)

- ☒ **A** A group of countries that use the same currency
- ☒ **B** A group of countries that have the same tax rates
- ☒ **C** A group of countries that have the same language
- ☒ **D** A group of countries that reduce trade barriers between themselves

(b) Which **one** of the following best describes the role of currency speculators?

(1)

- ☒ **A** They invest in government bonds
- ☒ **B** They trade currencies to profit from changes in exchange rates
- ☒ **C** They lend money to countries at low interest rates
- ☒ **D** They keep exchange rates stable by fixing the currency

(c) State **one** possible role of the World Trade Organization (WTO).

(1)

(d) What is meant by the term economic growth?

(2)

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11. Question 2 · part a · 1 mark · Working and answer

Working and answer

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